

THE MONETARY EXPRESSION OF THE SILVER THESIS

The Shortage the Price Ignores

Silver is heading for its sixth consecutive year in which the world uses more of it than it mines and recycles. It is also trading at \$63.36 an ounce, 46 per cent below its January peak, and it fell again this week after the Federal Reserve raised interest rates for the first time since 2023. A shortage and a falling price are not a contradiction. They are a clue that the question has moved: the silver price is being set less by how much metal is missing each year than by whether the people already holding a very large pile of it are willing to keep paying to hold it.

A reframe worth holding onto

The internal Wiki's newest statistical frame, drawn from a July 2026 Silver Institute study, separates two things that are usually traded as one. The industrial-deficit story explains why silver *should* be scarce; it explains almost none of the day-to-day movement in silver's price relative to gold. In the study's regression the manufacturing cycle accounts for roughly six per cent of the ratio's variation. The deficit and the price are, on this view, "complementary, not the same trade" — which is why a record run of shortfalls can coexist with a halving in the price.

Method. External figures (prices, policy rates, yields, survey data, company results) come from dated market reporting, industry surveys and company releases, each attributed at the point of use with its as-of date. Internal material comes from the Heyokha research Wiki's Silver theme page and the provider issues feeding it; it is labelled as the named provider's view, not as verified fact. Where the two disagree the disagreement is stated, not resolved. See Sources and update notes.

Picture a valley town that grows a little less grain each year than it eats — about five per cent short, harvest after harvest, for six years running. On the face of it bread should be getting dearer. But on the edge of town stands a large barn, filled during the good years by merchants who bought grain as a store of value. The barn holds roughly thirty times the annual shortfall. As long as the merchants are content to sit on their sacks, every lean harvest bites and the price climbs. Then the bank across the square starts paying five per cent on deposits. Holding grain now has a visible cost, and some merchants begin carting sacks to market. The town's shortfall has not changed; if anything it has widened. Yet the price of bread falls, because the gap is being filled from the barn rather than from the fields. Only when the barn has emptied far enough — or the bank cuts its rate — does the shortage start to matter again. Silver in September 2026 is that town, and the Fed has just raised the deposit rate.

THE STORY IN 60 SECONDS

\$63.36

Silver spot, down 1.66% on the day and 46% below the \$118.45 London fix of 29 January. *USAGOLD*, 24 Sep 2026; *Silver Institute via Wiki*.

3.75–4.00%

Fed funds range after the 16 September quarter-point hike, the first since 2023; silver fell 3.4% on the day. *Investing News Network*, 16 Sep 2026.

46.3 Moz

Forecast 2026 market deficit, a sixth straight year, even as solar use drops about 19%. *World Silver Survey 2026*, via *IndexBox*, 19 Jun 2026.

WHAT ACTUALLY HAPPENED

A squeeze, a collapse, and then a rate hike

The shape of silver's year is by now familiar. The metal closed 2025 near \$70 after a 159.5 per cent gain in the 13D Silver Strategy Index over the year, then rose by about two-thirds in four weeks to a London fix of \$118.45 on 29 January. The physical market seized up: the U.S. Mint suspended sales, Indian dealers defaulted on deliveries, and the Shanghai premium over New York briefly reached tens of dollars. China had classified silver as a strategic asset on 1 January, restricting export licences. Exchange margins were raised repeatedly, forcing leveraged holders out. Within days the price had fallen by a third, and by the end of May it was 36 per cent off the peak.

What followed was not a clean recovery. Silver found a floor at \$54.74 on 17 July and climbed about 24 per cent to late August, a move 13D Research read as the start of a new up-leg. Since then it has given back ground. The price is 6.4 per cent lower than a month ago and 0.8 per cent lower than a week ago, according to futures data published on 24 September, though still 47 per cent higher than a year ago. The ratio of the gold price to the silver price, which fell to 45.6 in late January, stood at 67.5 on 24 September — gold at \$4,273.36, silver at \$63.36.

The proximate cause is the change in the price of money. On 16 September the Fed, now chaired by Kevin Warsh, raised its target range by a quarter-point to 3.75–4.00 per cent, citing a robust labour market and core inflation — measured by the personal consumption expenditures index — running at 3.7 per cent. Silver fell from \$64.80 to \$62.60 in the hours after the decision. The 10-year Treasury yield reached 5.13 per cent on 23 September, its highest since 2007. By 24 September, futures markets put the probability of a further hike at the 28 October meeting at 75.3 per cent.

None of this has altered silver's physical balance much. The World Silver Survey 2026 expects mine output roughly flat and a deficit of 46.3m ounces, after 40.3m in 2025. Industrial demand is slightly weaker — solar manufacturers, squeezed by January's prices, are expected to cut silver use in photovoltaics by about 19 per cent this year, to roughly 151m ounces from 186.6m. That is the notable detail: the deficit persists even as the fastest-growing source of demand economises. What changed in September was not how much silver the world needs. It was what it costs to hold it.

THE ESSENTIAL DISTINCTION

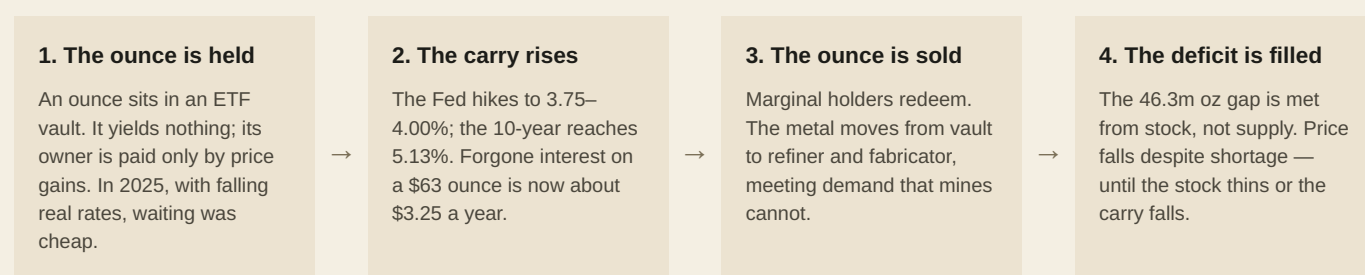
A deficit is a flow: a few tens of millions of ounces a year. The price is set at the margin by the stock: well over a billion ounces sitting in vaults and funds. *When holding the stock gets more expensive, the stock supplies the flow, and the deficit stops showing up in the price. Scarcity is necessary for a higher silver price; it is not sufficient.*

THE MECHANISM

Follow one ounce out of the vault

An ounce of silver sitting in an exchange-traded fund pays nothing. Its holder earns a return only if the price rises. That makes the ounce's owner sensitive to what the same money would earn elsewhere. At a 10-year Treasury yield of 5.13 per cent, a \$63.36 ounce forgoes about \$3.25 a year in interest — roughly 18 per cent of what Pan American Silver says it costs, all-in, to mine an ounce. When real interest rates were negative, that cost was close to zero and holders could wait indefinitely for the deficit to do its work. They no longer can.

The ounce that is sold does not vanish. It moves from a fund's vault to a refiner or fabricator, where it fills part of the year's deficit. Goehring & Rozencwajg, in commentary summarised on the Wiki on 28 August, count more than 2,500 tonnes — about 80m ounces — sold by the eight physical silver ETFs they track since the end-2025 peak. That single channel is larger than this year's entire forecast deficit. The market does not need the price to rise to clear, because investors are clearing it.



Source: carry calculation is the editor's arithmetic (5.13% 10-year yield, 23 Sep 2026 × \$63.36 spot, 24 Sep 2026). Deficit: World Silver Survey 2026. ETF sales: Goehring & Rozencwajg, as summarised on the Heyokha Wiki (internal view, 28 Aug 2026). Pan American Silver AISC: Q2 2026 results, 12 Aug 2026.

The same logic explains why the deficit story has not been wrong so much as early. Each deficit year has drained above-ground stocks; the World Silver Survey puts the cumulative draw since 2021 at 762.1m ounces. The stock that absorbs today's shortfall is therefore smaller than it was. At some point the barn is empty enough that holders who remain are the ones who will not sell at any plausible interest rate — central banks, Chinese strategic buyers, long-horizon physical owners. When that point arrives, the flow deficit reasserts itself in the price, and does so sharply, because silver's supply barely responds to price: more than 70 per cent of it is mined as a by-product of copper, lead, zinc and gold. The disagreement between the Wiki's providers is, at root, a disagreement about how close that point is.

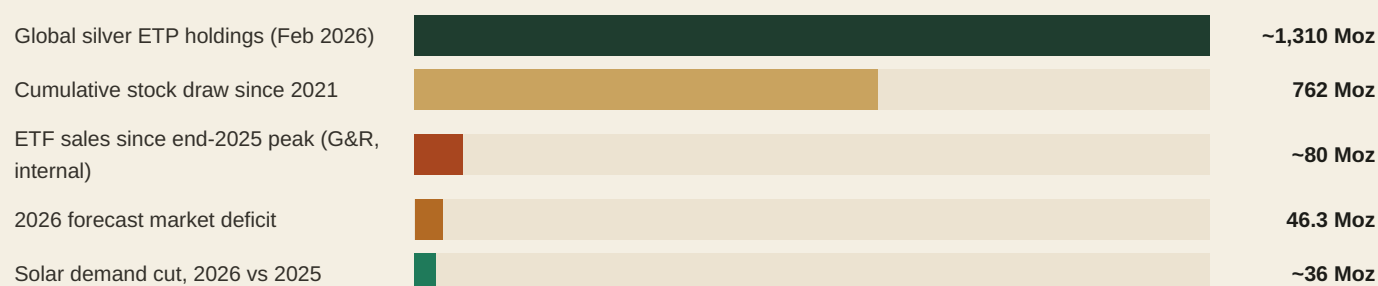


Sources: USAGOLD (24 Sep 2026); Silver Institute ratio study via Wiki (Jul 2026); Silver Institute outlook, 10 Feb 2026 (ETP holdings); World Silver Survey 2026 (deficit); 10-year yield via Vantage Markets citing market data (23 Sep 2026). Carry figure is the editor's arithmetic.

FLOW AGAINST STOCK

How big the shortage looks next to the pile

The comparison that matters is between the annual flows analysts focus on and the stocks that can meet them. Plotted on one scale, the deficit, the solar economy and even the ETF selling are slivers beside the metal already held in funds. The largest bar is the reason a sixth deficit year can coincide with a falling price; the second is the reason the pattern cannot last indefinitely.



Bars are illustrative and drawn to a common scale of ETP holdings. ETP holdings: Silver Institute, 10 Feb 2026. Cumulative draw and deficit: World Silver Survey 2026 (via CLSA on the Wiki and IndexBox, Jun 2026). Solar: 186.6m oz (2025) to ~151m oz (2026F), Silver Institute/Metals Focus via Mining.com, 5 Jun 2026. ETF sales: Goehring & Rozencwajg, internal view, eight funds only; 2,500 t converted at 32,151 oz per tonne. Stock and flow figures come from different dates and definitions and are not strictly additive.

A USEFUL MENTAL MODEL

Think of silver as two markets stacked on top of each other: an industrial market that is short every year, and a monetary market that decides how much of the stored metal it is willing to hold. *The first sets the direction of travel over a decade. The second, governed by real interest rates and investor patience, sets the price this quarter.*

WHAT HAS ACTUALLY SHIFTED

Six changes since the January peak

WHAT HAS CHANGED	WHAT IT LOOKS LIKE IN THE DATA	WHY IT CUTS BOTH WAYS
The cost of holding metal	Fed funds 3.75–4.00% after 16 Sep; 10-year at 5.13% on 23 Sep; 75.3% odds of an October hike.	Higher carry pushes holders out; persistent inflation strengthens the monetary case over time.
Investor holdings	G&R: over 2,500 t sold by eight ETFs since end-2025 (internal view).	Selling fills the deficit now, but leaves a smaller float that reacts harder to the next buyer.
Solar demand	PV use expected to fall about 19% in 2026, to ~151m oz, as makers thrift silver.	Thriftiness rarely reverses; yet the market stays in deficit even after it.
China's role	Strategic-asset status from 1 Jan 2026; export approvals limited (13D, internal).	Policy can withhold metal from the West, or release it; neither is easily forecast.
The gold/silver ratio	45.6 in late January; ~70 at end-June; 67.5 on 24 Sep. Long-run equilibrium estimated at 59.65.	Silver looks cheap to gold, but the study finds gold does most of the correcting.
Producer economics	Pan American silver AISC \$17.80 vs realised \$70.97 in Q2; Hecla AISC \$6.07 vs \$63.06.	Margins are wide at \$63, and are what shrinks fastest if the price keeps falling.

THE DEBATE

Bull and bear, stated fairly

The bull case

- **The deficit is structural, not cyclical.** Six consecutive shortfalls and a cumulative draw of 762.1m oz since 2021 (World Silver Survey 2026).
- **Supply cannot respond to price.** More than 70% of silver is a by-product, so a higher price barely raises output (Wiki, 13D; Silver Institute).
- **The correction looks like a back-test.** 13D (30 Aug) read the July low at \$54.74 and the subsequent rise in miners' relative strength as signs the pullback would be "brief and shallow".
- **Silver is cheap against gold.** A ratio of 67.5 sits above the 59.65 equilibrium in the Silver Institute's 1970–2026 study.
- **Producers are printing cash.** Fresnillo's H1 net profit rose 213% to \$1.46bn; Wheaton's Q2 cash margin was \$3,875 per GEO.

The bear case

- **Real rates are moving the wrong way.** A hike to 3.75–4.00% with PCE at 3.7% and a 5.13% 10-year raises the cost of holding metal.
- **The stock can fund the flow for years.** ETP holdings of about 1.31bn oz are roughly 28 times the 2026 deficit; G&R see "considerably more liquidation ahead".
- **History's catch-up signal is ugly.** G&R note silver surging to close the gap on gold preceded falls of 40–90% in 1974, 1979, 2011 and 2020 (internal view).
- **Demand is economising.** Solar silver use falling about 19% this year shows the high price has already destroyed some demand, and thriftiness rarely reverses.
- **Producer volumes are slipping.** Fresnillo's H1 silver output fell 11.4%; Hecla cut its 2026 silver guidance — operating leverage works both ways.

Note on sourcing: the Wiki's own bear section is a placeholder ("to be developed"). The bear case above was built from the Goehring & Rozencwajg material summarised elsewhere on the page, from external rate and survey data, and from tensions inside the producers' own results.

WHERE THE VIEWS DIVERGE

The sharpest conflict is inside the Wiki itself, and external data do not settle it. 13D Research, which supplies almost all of the page, reads rising bond yields as part of a secular reflation that favours hard assets, and its August notes described the silver pullback as likely "brief and shallow", with miners' relative strength signalling "a new and sustained up-leg". Goehring & Rozenchwajg read the same rising real rates as the cause of the correction and, as of late August, believed the bottom had not been reached. External evidence since then cuts across both: silver has fallen 6.4 per cent in a month and the Fed has hiked, which is closer to the G&R script; but the Silver Institute still projects a widening deficit and solar thrift has not closed it, which is 13D's structural point. A second, smaller conflict sits in the data: 13D's 2022 reporting had physical investment rising to a record, while the Silver Institute's 2026 study says net investment more than halved that year. The Wiki flags it as likely a revision or definition difference. It remains unresolved here.

WHAT TO WATCH FROM HERE

The dashboard

SIGNAL	PLAIN-ENGLISH READING	WHY IT MATTERS
FOMC, 28 October	Futures price a 75.3% chance of another hike (24 Sep).	A second hike lifts the cost of holding metal again; a pause would be the first relief for the monetary leg.
10-year yield vs 5%	5.13% on 23 Sep, a 2007 high; 13D flagged 5.00% as an inflection.	A pullback in yields would cut carry directly; a break higher confirms the G&R real-rate frame.
Silver ETF holdings	Direction of weekly creations and redemptions in SLV and peers.	The barn. When redemptions stop while price is falling, the stock has stopped supplying the flow.
Gold/silver ratio	67.5 on 24 Sep; ~70 at end-June; equilibrium ~59.65.	A move through 70 would say silver is behaving as a risk asset, not a monetary one.
Shanghai premium and export licences	How far Chinese prices sit above New York; any change to strategic-asset rules.	A widening premium signals physical tightness the futures price is not reflecting.
Q3 producer results	Realised prices, all-in costs, and guidance changes from the majors.	Tests whether operating leverage is still expanding or has begun to contract.

THREE POSTURES, NOT ONE ANSWER

The patient holder

Treat silver as monetary insurance with an industrial kicker, held through the rate cycle on the view that the stock is finite and the deficit is not. **The cost:** about \$3.25 an ounce a year in forgone interest at current yields, and silver's high beta to gold in a falling market — the complex's worst drawdowns have been silver's.

The margin owner

Express the theme through low-cost producers and streamers, whose all-in costs sit far below spot and whose cash flows fund dividends and buybacks. **The cost:** equity risk layered on metal risk — G&R's precedents show miners falling 50–80% when the complex turns — plus Mexican and operational exposure and slipping volumes.

The rate watcher

Hold the view but defer the position until the monetary leg turns: a Fed pause, falling real yields, or ETF redemptions drying up. **The cost:** the move 13D expects after a back-test tends to be fast, and a by-product market that tightens can reprice before the macro signal is clear.

The names below are illustrative expressions of the theme, chosen to show how different business models sit in the silver chain. They are not recommendations, and no view is expressed on whether any of them should be bought, sold or held.

SLV

iShares Silver Trust

Silver \$63.36
24 Sep 2026

The largest silver ETF and the purest expression of the "barn" in this edition's analogy. Its holdings are the stock that has been filling the flow deficit; its share count is the most visible daily gauge of whether investors are still paying to hold metal. 13D noted a record 19% discount to NAV during the January dislocation (internal view).

WATCH NEXT

Whether redemptions slow as the price falls — the sign that the stock has stopped supplying the flow.

WPM

Wheaton Precious Metals

Q2 revenue \$929m
results 6 Aug 2026

A streamer: it pays upfront for the right to buy future metal at a fixed low cost. Silver was 52% of Q2 revenue; cash costs were \$568 per gold-equivalent ounce and the cash margin \$3,875, up 65% on the year. 2026 guidance is 27–29m oz of silver. Operating risk sits with the mine owners, which cushions but does not remove price risk.

WATCH NEXT

Q3 cash margin per GEO, and whether new stream deals are priced off today's lower silver.

PAAS

Pan American Silver

Silver AISC \$17.80
Q2, 12 Aug 2026

Produced 6.47m oz of silver and 165.9k oz of gold in Q2, realising \$70.97 per silver ounce against silver-segment all-in costs of \$17.80. Attributable free cash flow was \$344m and \$300m went back to shareholders. The gap between realised and spot prices shows how much of the Q2 margin was earned at levels silver has since left.

WATCH NEXT

Realised silver price in Q3 against the \$15.75–18.25 AISC guidance range.

HL

Hecla Mining

Silver AISC \$6.07
Q2, 4 Aug 2026

The largest U.S. silver producer, and the second-largest position in 13D's Silver Index (internal view). Q2 silver output was 4.2m oz at a realised \$63.06 with by-product-credited AISC of \$6.07; free cash flow was \$136m. It cut consolidated 2026 silver guidance to 15.1–16.1m oz on Keno Hill while raising Greens Creek.

WATCH NEXT

Keno Hill's ramp-up, which decides whether the lowered guidance holds.

FRES

Fresnillo plc

H1 profit \$1.46bn
interims 4 Aug 2026

The world's largest primary silver miner, listed in London. H1 revenue rose 74.7% to \$3.38bn and net profit 213% on a realised silver price of \$78.90 — but silver output fell 11.4% to 22m oz and a 12.5% peso revaluation lifted costs. It is the clearest case of price doing all the work while volumes slip.

WATCH NEXT

Delivery against unchanged 42–46.5m oz full-year silver guidance.

AG

First Majestic Silver

AISC \$25.68/AgEq oz
Q2, 30 Jul 2026

A higher-cost, Mexico-focused producer: Q2 silver output of 3.8m oz at a realised \$63.98, with all-in costs of \$25.68 per silver-equivalent ounce, up from \$21.02 a year earlier. Revenue rose 57% to \$415.5m and it holds \$1.25bn in treasury. Its thinner margin makes it the most sensitive of these names to a further fall in the price.

WATCH NEXT

Whether cost inflation keeps outpacing the price as silver drifts lower.

The bottom line

What was repriced this month was not silver's scarcity but the cost of waiting for it. The deficit is intact and, on the industry's own survey, widening; what changed is that a Fed hiking into 3.7 per cent inflation, and a 10-year yield above 5 per cent, have put a price on holding metal that pays nothing. Investors have responded by supplying the market from their own vaults, and for now that has been enough to meet the shortfall.

The evidence is mixed. The structural data favour the bulls; the flows and the rate path favour the bears; the Wiki's two main voices take opposite sides and neither has been proved wrong. The reasonable inference is that silver's direction over years still depends on the deficit, but its path over the next quarter depends on real rates and on how much patience remains among holders. The next test is the 28 October Fed meeting: if a second hike arrives and ETF holdings stop falling anyway, the stock will have begun to stop supplying the flow.

Editorial note. This Market Field Guide is educational commentary prepared for internal use at Heyokha Brothers. It is not investment advice and does not recommend any security, strategy or allocation. Named companies and funds are illustrative expressions of a theme. External figures are dated and attributed at the point of use and may since have changed. Views drawn from the internal research Wiki are the opinions of the named third-party providers, labelled as views rather than forecasts or facts. Where internal and external evidence conflict, the conflict is stated rather than resolved.

Sources and update notes

Internal. Heyokha Wiki theme page "Silver" (created 23 June 2026; last reviewed 3 September 2026), including its thesis, bull, bear, evidence, contradictions and dated 2026 sections. Provider issues relied on: 13D Research WATMTU of 9 August, 16 August, 30 August and 13 September 2026; 13D WILTW of 6 August and 10 September 2026, and 1, 5 and 19 February 2026; Goehring & Rozencwajg natural resource commentary of 28 August 2026 and Q1 2026 commentary of 19 May 2026; the Silver Institute / Precious Metals Insights gold-silver ratio study of 21 July 2026; CLSA Bits & Pieces of 11 September 2026 (World Silver Survey takeaways).

Limitation on the internal view. The Silver page is heavily concentrated on a single provider. Of the 58 sources in its front-matter, 56 are 13D Research issues; one is Goehring & Rozencwajg and one the Silver Institute study, with CLSA and a second G&R letter cited only in the body. 13D's largely technical, bullish framing dominates. The page's bear section is an unfilled placeholder, and its Contradictions section records only one data discrepancy. The bear case in this edition therefore leans on G&R and external data rather than on a balanced internal record.

External sources. (1) USAGOLD daily report, 24 Sep 2026: gold \$4,273.36, silver \$63.36 (−\$1.07, −1.66%), gold/silver ratio 67.5 (from 66.2), Fed range 3.75–4.00%. (2) Yahoo Finance silver price report, 24 Sep 2026: December futures \$64.92 open, \$63.99 at 7:23 a.m. ET; −0.8% on the week, −6.4% on the month, +47.2% on the year; CME FedWatch 75.3% probability of an October hike. (3) Yahoo Finance gold price report, 24 Sep 2026: gold futures \$4,293.20. (4) Investing News Network, 16 Sep 2026: Fed raises range to 3.75–4.00%, first hike since 2023; PCE inflation 3.7%; silver \$64.80 to \$62.60 (−3.4%). (5) Vantage Markets citing market data: 10-year Treasury 5.13% on 23 Sep 2026, highest since 2007; FOMC decision 28 Oct 2026. (6) IndexBox, 19 Jun 2026, citing World Silver Survey 2026 (Silver Institute/Metals Focus): 2026 deficit 46.3m oz, sixth consecutive; PV demand 186.6m oz in 2025 falling ~19% to ~151m oz. (7) Mining.com, 5 Jun 2026: solar thrifting data. (8) Silver Institute press release, 10 Feb 2026: ETP holdings ~1.31bn oz. (9) Wheaton Precious Metals Q2 2026 release, 6 Aug 2026: revenue \$929m, net earnings \$543m, silver 52% of revenue, cash costs \$568/GEO, cash margin \$3,875/GEO, 2026 silver guidance 27–29m oz. (10) Pan American Silver Q2 2026 release, 12 Aug 2026: silver 6.47m oz, gold 165.9k oz, silver AISC \$17.80, realised \$70.97, attributable FCF \$344m, \$300m returned. (11) Hecla Mining Q2 2026 release, 4 Aug 2026: silver 4.2m oz, AISC \$6.07, realised \$63.06, FCF \$136m, 2026 guidance 15.1–16.1m oz. (12) Fresnillo H1 2026 interims via Mining Weekly, 4 Aug 2026: revenue \$3.38bn (+74.7%), net profit \$1.46bn (+213%), silver 22m oz (−11.4%), realised \$78.90. (13) First Majestic Q2 2026 release, 30 Jul 2026: silver 3.8m oz, AISC \$25.68/AgEq oz, realised \$63.98, revenue \$415.5m, treasury \$1,252.7m.

Editorial choices made in this automated run. The archive in the HB Wiki Learning folder was read through the desktop bridge and all filenames were parsed for a 30-day cooldown. Wiki sources from the last 21 days were scored by recency and headline mention; none was published in the last three days (newest 18 September), so the hot signal was weak. Higher-scoring themes were skipped as used within 30 days: Gold (26 Aug), AI Capex (8 Sep), Critical Minerals (21 Sep), China Equities (22 Sep), Copper (24 Sep), Oil & Gas (21 Sep), Iran War (27 Aug), and Food Security, treated as covered by the Grain Supply Shock edition of 31 Aug. Silver tied with Gold Miners; Silver was taken because the 16 September Fed hike made the metal's monetary side the live question. The Silver Miners edition of 3 September covered the producer and by-product supply angle; this edition deliberately centres on the metal, the rate cycle and the stock-flow balance, and treats the miners only as illustrations. All Wiki tools and the bridge worked. Some external pages were unreachable (Fortune 404; FX Leaders and GoldSilver.com blocked).